

Middle East conflict scenarios

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The impact of our baseline and alternative Middle East Conflict scenario on energy prices and the Australian and New Zealand economy.



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The US/Israel-Iran conflict has triggered a sharp global energy shock, with the all-important Strait of

Hormuz officially closed amid heightened security risks and sharply rising insurance costs. Uncertainty is considerable, most notably around the duration of the conflict.

Against this backdrop, we outline a baseline and an alternative scenario for energy prices and the broader macroeconomic implications, based on scenario modelling using the Oxford Economics global macroeconomic model.

The baseline scenario assumes the conflict lasts around one month, followed by at least a further month for shipping through the Strait of Hormuz to normalise.

Under this profile, energy prices rise sharply but temporarily. Brent crude is assumed to peak near US\$110/bbl, averaging around US\$90/bbl in Q2, while LNG prices rise more aggressively, reflecting Qatar's exposure, with Japanese LNG averaging around US\$19.5/mmbtu in Q2.

In Australia, the modelled energy shock lifts headline CPI by around 0.8ppts, peaking at 4.6%yr in Q2 2026. Trimmed mean inflation effects are modest, with second-round spillovers adding around 0.2ppts in H2 2026.

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- Growth impacts are negative but contained, with GDP growth around 0.1ppt lower in 2026, partly offset by stronger LNG and coal export incomes.

An alternative scenario assumes a three-month disruption, with oil prices averaging around US\$130/bbl in Q2, materially higher LNG prices for longer, and broader cost pass-through.

- Under this scenario, headline CPI rises by around 1.3ppts above baseline in Q2 2026, trimmed mean inflation remains above target well into 2027, and GDP growth is around 0.5ppts lower over the year to end-2026.

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